



FIGURE 3.—Preferences and Awareness. *Note:* This figure shows average choice probabilities when B_i contains one copy of each institution (panel A), and when elite private schools are excluded (panels C and D). Panel B shows the share of students aware of aid at each institution. Panels A and C: All students fully aware of aid. Panel D: Aid awareness is set to zero for all students. Top-decile class rank and other students shown separately. Institutions: (1) Nonflagship In-State Public; (2) Private Secular; (3) Religious; (4) Out-of-State Public; (5) Elite Private; (6) Texas A&M; (7) UT Austin.

a roughly 90% admissions chance; this figure falls to roughly 65% at the poorest schools. Chances for average nontop-decile students are lower, although not vanishing.

Panel D shows subjective admissions chances conditional on having a true admission chance of 95%, that is, having caliber q_i^* such that $\Pr(z_i^{\text{admit}}\gamma^{\text{admit}} + q_i^* - \pi_{\text{UTA}}) = 0.95$. For nontop-decile students i from affluent schools, this value of q_i^* is large, and students hold some private information. In contrast, at low-poverty schools students update very little. Students from the poorest high schools whose true admissions chances at UT Austin *without* Texas Top Ten would be 95% believe, on average, that their chances would be below 70%. This mean includes some students with even lower perceived chances. Because even students with very high admissions chances face subjective uncertainty, there may be room for an admissions guarantee to affect their application decisions.

Figure 3 summarizes preferences and awareness, plotting first-choice probabilities if B_i consisted of one copy of each college (panel A; panels C and D if $j = 5$ is excluded) and awareness probabilities (panel B). Estimates indicate that students would tend to prefer highly-selective private institutions (panel A), to which admissions are unlikely. Excluding these options from the choice set, the leading choices are UT Austin, nonflagship public institutions, and Texas A&M, each with roughly 20% share. (Preferences sum to less than 1, as some students prefer the outside option). Most top-decile students are aware of aid, while awareness rates are lower for nontop-decile students. If students were not aware of aid, the relative popularity of UT Austin would fall and the nonflagship share and outside-option share would grow.

Accounting for selection matters. Estimates based on final choices only, ignoring selection on applications and admissions, would have underestimated the share of students preferring elite private universities and nonflagship public institutions, and overestimated the share preferring flagships. I provide details in Appendix Figure 4.